

value, your estimate would probably fall somewhere near 20 million, because you are likely subject to anchoring by your previous response.

Technical Description

Anchoring and adjustment is a psychological heuristic that influences the way people intuit probabilities. Investors exhibiting this bias are often influenced by purchase “points”—or arbitrary price levels or price indexes—and tend to cling to these numbers when facing questions like “Should I buy or sell this security?” or “Is the market overvalued or undervalued right now?” This is especially true when the introduction of new information regarding the security further complicates the situation. Rational investors treat these new pieces of information objectively and do not reflect on purchase prices or target prices in deciding how to act. Anchoring and adjustment bias, however, implies that investors perceive new information through an essentially warped lens. They place undue emphasis on statistically arbitrary, psychologically determined anchor points. Decision making therefore deviates from neoclassically prescribed “rational” norms.

PRACTICAL APPLICATION

This chapter reviews one miniature case study and provides an accompanying analysis and interpretation that will demonstrate investor potential for anchoring and adjustment bias.

Miniature Case Study: Anchoring and Adjustment Bias

Case Presentation Suppose Alice owns stock in Corporation ABC. She is a fairly astute investor and has recently discovered some new information about ABC. Her task is to evaluate this information for the purpose of deciding whether she should increase, decrease, or simply maintain her holdings in ABC. Alice bought ABC two years ago at \$12, and the stock is now at \$15. Several months ago, ABC reached \$20 after a surprise announcement of higher-than-expected earnings, at which time Alice contemplated selling the stock but did not. Unfortunately, ABC then dropped to \$15 after executives were accused of faulty accounting practices. Today, Alice feels as though she has “lost” 25 percent of the stock’s value, and she would prefer to wait and sell her shares in ABC once it returns to its recent \$20 high.

Alice has a background in accounting, and she does some research that leads her to conclude that ABC’s methods are indeed faulty, but not